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Line During the 1980s, many economic historians studying Latin America focused on the impact of the Great Depression of the 1930s. Most of these historians argued that although the Depression (5) began earlier in Latin America than in the United States, it was less severe in Latin America and did not significantly impede industrial growth there. The historians' argument was grounded in national government records concerning tax revenues and (10) exports and in government-sponsored industrial censuses, from which historians have drawn conclusions about total manufacturing output and profit levels across Latin America. However, economic statistics published by Latin American (15) governments in the early twentieth century are neither reliable nor consistent; this is especially true of manufacturing data, which were gathered from factory owners for taxation purposes and which therefore may well be distorted. Moreover, (20) one cannot assume a direct correlation between the output level and the profit level of a given industry, as these variables often move in opposite directions. Finally, national and regional economies are composed of individual firms and industries, (25) and relying on general, sweeping economic indicators may mask substantial variations among these different enterprises. For example, recent analyses of previously unexamined data on textile manufacturing in Brazil and Mexico suggest that the (30) Great Depression had a more severe impact on this Latin American industry than scholars had recognized.

Questions 546–548 refer to the passage.

546. The primary purpose of the passage is to

A. compare the impact of the Great Depression on Latin America with its impact on the United States

B. criticize a school of economic historians for failing to analyze the Great Depression in Latin America within a global context

C. illustrate the risks inherent in comparing different types of economic enterprises to explain economic phenomena

D. call into question certain scholars' views concerning the severity of the Great Depression in Latin America

E. demonstrate that the Great Depression had a more severe impact on industry in Latin America than in certain other regions

547. Which of the following conclusions about the Great Depression is best supported by the passage?

A. It did not impede Latin American industrial growth as much as historians had previously thought.

B. It had a more severe impact on the Brazilian and the Mexican textile industries than it had on Latin America as a region.

C. It affected the Latin American textile industry more severely than it did any other industry in Latin America.

D. The overall impact on Latin American industrial growth should be reevaluated by economic historians.

E. Its impact on Latin America should not be compared with its impact on the United States.

548. Which of the following, if true, would most strengthen the author's assertion regarding economic indicators in

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548. Which of the following, if true, would most strengthen the author's assertion regarding economic indicators in lines 25–27?

A. During an economic depression, European textile manufacturers' profits rise while their industrial output remains steady.

B. During a national economic recession, United States microchips manufacturers' profits rise sharply while United States steel manufacturers' profits plunge.

C. During the years following a severe economic depression, textile manufacturers' output levels and profit levels increase in Brazil and Mexico but not in the rest of Latin America.

D. Although Japanese industry as a whole recovers after an economic recession, it does not regain its previously high levels of production.

E. While European industrial output increases in the years following an economic depression, total output remains below that of Japan or the United States.

Line Among the myths taken as fact by the environmental managers of most corporations is the belief that environmental regulations affect all competitors in a given industry uniformly. In reality, (5) regulatory costs—and therefore compliance—fall unevenly, economically disadvantaging some companies and benefiting others. For example, a plant situated near a number of larger noncompliant competitors is less likely to attract (10) the attention of local regulators than is an isolated plant, and less attention means lower costs.

Additionally, large plants can spread compliance costs such as waste treatment across a larger revenue base; on the other hand, some smaller (15) plants may not even be subject to certain provisions such as permit or reporting requirements by virtue of their size. Finally, older production technologies often continue to generate toxic wastes that were not regulated when the (20) technology was first adopted. New regulations have imposed extensive compliance costs on companies still using older industrial coal-fired burners that generate high sulfur dioxide and nitrogen oxide outputs, for example, whereas new (25) facilities generally avoid processes that would create such waste products. By realizing that they have discretion and that not all industries are affected equally by environmental regulation, environmental managers can help their companies (30) to achieve a competitive edge by anticipating regulatory pressure and exploring all possibilities for addressing how changing regulations will affect their companies specifically.

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Questions 549–552 refer to the passage.

549. It can be inferred from the passage that a large plant might have to spend more than a similar but smaller plant on environmental compliance because the larger plant is

A. more likely to attract attention from local regulators

B. less likely to be exempt from permit and reporting requirements

C. less likely to have regulatory costs passed on to it by companies that supply its raw materials

D. more likely to employ older production technologies

E. more likely to generate wastes that are more environmentally damaging than those generated by smaller

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E. more likely to generate wastes that are more environmentally damaging than those generated by smaller plants

550. According to the passage, which of the following statements about sulfur dioxide and nitrogen oxide outputs is true?

A. Older production technologies cannot be adapted so as to reduce production of these outputs as waste products.

B. Under the most recent environmental regulations, industrial plants are no longer permitted to produce these outputs.

C. Although these outputs are environmentally hazardous, some plants still generate them as waste products despite the high compliance costs they impose.

D. Many older plants have developed innovative technological processes that reduce the amounts of these outputs generated as waste products.

E. Since the production processes that generate these outputs are less costly than alternative processes, these less expensive processes are sometimes adopted despite their acknowledged environmental hazards.

551. Which of the following best describes the relationship of the statement about large plants (lines 12–17) to the passage as a whole?

A. It presents a hypothesis that is disproved later in the passage.

B. It highlights an opposition between two ideas mentioned in the passage.

C. It provides examples to support a claim made earlier in the passage.

D. It exemplifies a misconception mentioned earlier in the passage.

E. It draws an analogy between two situations described in the passage.

552. The primary purpose of the passage is to

A. address a widespread environmental management problem and suggest possible solutions

B. illustrate varying levels of compliance with environmental regulation among different corporations

C. describe the various alternatives to traditional methods of environmental management

D. advocate increased corporate compliance with environmental regulation

E. correct a common misconception about the impact of environmental regulations

Line Findings from several studies on corporate mergers and acquisitions during the 1970s and 1980s raise questions about why firms initiate and consummate such transactions. One study showed, (5) for example, that acquiring firms were on average unable to maintain acquired firms' pre-merger levels of profitability. A second study concluded that post-acquisition gains to most acquiring firms were not adequate to cover the premiums paid to obtain (10) acquired firms. A third demonstrated that, following the announcement of a prospective merger, the stock of the prospective acquiring firm tends to increase in value much less than does that of the firm for which it bids. Yet mergers and acquisitions remain common, (15) and bidders continue to assert that their objectives are economic ones. Acquisitions may well have the desirable effect of channeling a nation's resources efficiently from less to more efficient sectors of its economy, but the individual executives arranging (20) these deals must see them as advancing either their own or their companies' private economic interests. It seems that factors having little to do with corporate economic interests explain acquisitions. These factors may include the incentive compensation of

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(25) factors may include the incentive compensation of executives, lack of monitoring by boards of directors, and managerial error in estimating the value of firms targeted for acquisition. Alternatively, the acquisition acts of bidders may derive from modeling: a manager does what other managers do.

Questions 553–556 refer to the passage.

553. The primary purpose of the passage is to

A. review research demonstrating the benefits of corporate mergers and acquisitions and examine some of the drawbacks that acquisition behavior entails

B. contrast the effects of corporate mergers and acquisitions on acquiring firms and on firms that are acquired

C. report findings that raise questions about a reason for corporate mergers and acquisitions and suggest possible alternative reasons

D. explain changes in attitude on the part of acquiring firms toward corporate mergers and acquisitions

E. account for a recent decline in the rate of corporate mergers and acquisitions

554. It can be inferred from the passage that the author would be most likely to agree with which of the following statements about corporate acquisitions?

A. Their known benefits to national economies explain their appeal to individual firms during the 1970s and 1980s.

B. Despite their adverse impact on some firms, they are the best way to channel resources from less to more productive sectors of a nation's economy.

C. They are as likely to occur because of poor monitoring by boards of directors as to be caused by incentive compensation for managers.

D. They will be less prevalent in the future, since their actual effects will gain wider recognition.

E. Factors other than economic benefit to the acquiring firm help to explain the frequency with which they occur.

555. The author of the passage mentions the effect of acquisitions on national economies most probably in order to

A. provide an explanation for the mergers and acquisitions of the 1970s and 1980s overlooked by the findings discussed in the passage

B. suggest that national economic interests played an important role in the mergers and acquisitions of the 1970s and 1980s

C. support a noneconomic explanation for the mergers and acquisitions of the 1970s and 1980s that was cited earlier in the passage

D. cite and point out the inadequacy of one possible explanation for the prevalence of mergers and acquisitions during the 1970s and 1980s

E. explain how modeling affected the decisions made by managers involved in mergers and acquisitions during the 1970s and 1980s

556. The author of the passage implies that which of the following is a possible partial explanation for acquisition behavior during the 1970s and 1980s?

A. Managers wished to imitate other managers primarily because they saw how financially beneficial other firms' acquisitions were.

B. Managers miscalculated the value of firms that were to be acquired.

C. Lack of consensus within boards of directors resulted in their imposing conflicting goals on managers.

D. Total compensation packages for managers increased during that period.

E. The value of bidding firms' stock increased significantly when prospective mergers were announced.

Line Historical documents have revealed that among the Timucua of Florida, a Native American people,

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the Timucua of Florida, a Native American people, the best from the hunt or the harvest was given to families of high social status, even in times (5) of economic stress. Archaeological research suggests a similar relationship between social status and diet in the Dallas communities of eastern Tennessee, prehistoric Native American groups with a social organization and economy similar to (10) that of the Timucua. The first real clue came when archaeologists discovered that skeletons of higher-status individuals tended to be several centimeters taller than those of people of lower status.

In the largest Dallas communities, some individuals (15) were buried in the earthen mounds that served as substructures for buildings important to civic and religious affairs. These burials included quantities of finely crafted items made of nonlocal material, denoting the high political standing of those interred. (20) Burials of lower-status individuals contained primarily utilitarian items such as cooking vessels and chipped stone tools and are located in more remote sections of the settlements. The burials actually formed a pattern, the tallest skeletons being found in the (25) mounds, and the heights declining as burials became more distant from the mounds. While it is possible that taller people were simply more successful in achieving high social standing, it is more likely that a number of stresses, including those resulting from a (30) relatively poor diet, which could affect stature, were common among the lower-status groups.

Excavations indicate that three food categories made up the bulk of the population's diet: agricultural crops cultivated in the fertile alluvial soils where the (35) communities were located, game, and wild edible plants, primarily nuts. Information about dietary variation among community members is derived by analyzing trace elements in human bone. Higher than normal levels of manganese, strontium, and vanadium (40) probably indicate a less nutritious diet heavily dependent on edible plants. Very low concentrations of vanadium, which is scarce in meats and somewhat lower in nuts than in other plant resources, are good evidence of meat consumption and thus a better (45) balanced diet. As expected, vanadium was found in considerably greater quantities in skeletons in the burials of lower-status groups.

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Questions 557–560 refer to the passage.

557. According to the passage, which of the following statements regarding earthen mounds in the Dallas communities is accurate?

A. They served primarily as burial grounds.

B. They were constructed in key locations on the perimeter of the village.

C. They were elements in important structures in the community.

D. They were used as storehouses for keeping valuable possessions safe.

E. They contained utilitarian items made of nonlocal materials.

558. In lines 26–28, the author of the passage raises the possibility that taller people achieved greater success most probably in order to

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probably in order to

A. suggest that two explanations for a phenomenon are equally plausible

B. introduce empirical data supporting a position

C. anticipate an objection to an argument

D. question the usefulness of relying solely on physical evidence

E. point out a weakness in a traditional argument

559. The passage suggests that the "relationship" mentioned in line 6 was initially recognized when archaeologists

A. attempted to trace the ancestry of the Timucua of Florida

B. discovered a height differential among members of subgroups in the Dallas community

C. realized that the Dallas communities endured periods of nutritional deprivation

D. began to compare the social organization and economies of the Timucua with that of the Dallas communities

E. became curious about differences in trace elements found in the bones of Dallas community members

560. The passage suggests which of the following about the diet of the Dallas communities?

A. Wild edible plants were a relatively minor element in the diet.

B. Game was less likely to be available to lower-status individuals than were edible plants.

C. The diet was composed primarily of agricultural crops when game was scarce.

D. The diet was obtained entirely from local food sources.

E. The diet was well balanced, especially at harvest-time.

Line Historically, relations between workers and employers in the United States have often been characterized by the employment-at-will doctrine, according to which the duration of employment is (5) determined by the employer and the grounds for termination are limited only by the provisions of contracts and specific statutes. Many state courts and legislatures have reevaluated this doctrine and have modified it by expanding the concept of (10) wrongful termination, thereby increasing employer liability. Some economic theorists suggest that such changes tend to reduce employment in states that enact them, because protecting workers against wrongful termination raises the cost of labor to (15) employers: firms will tend to spend more time and money screening potential employees, be reluctant to terminate less-productive workers, and incur greater legal expenses. In a study that took into account differences among states, researchers Dertouzos and (20) Karoly concluded that states with wrongful-termination laws experienced a 2 percent to 5 percent drop in their employment rate as a result of adopting these laws. They also found that the impact on employment appears to be smallest in manufacturing, where (25) unions have already institutionalized similar protection, and in small firms, perhaps because those firms' lesser ability to pay damages makes it less profitable for employees to file wrongful-termination lawsuits against them.

Questions 561–563 refer to the passage.

561. The primary purpose of the passage is to

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561. The primary purpose of the passage is to

A. explore the legal consequences of terminating a worker's employment

B. define the employment-at-will doctrine and chronicle its historical evolution

C. examine reasons underlying a trend away from the employment-at-will doctrine

D. advocate increased protection for workers against wrongful termination by employers

E. discuss a possible drawback of state laws intended to protect workers against wrongful termination

562. Which of the following best describes the organization of the passage?

A. An idea is proposed and arguments against it are examined and then refuted.

B. A doctrine is defined and reasons for favoring its adoption are listed.

C. A doctrine is criticized, several possible alternatives are outlined, and one is endorsed.

D. An idea is described, its antithesis is presented, and a synthesis of the two is proposed.

E. A doctrine is defined, a revision to it is described, and the implications of that revision are discussed.

563. The passage suggests which of the following regarding wrongful-termination lawsuits?

A. States that do not implement wrongful-termination laws will probably see an increase in wrongful-termination lawsuits.

B. It is less profitable to file wrongful-termination lawsuits against unionized companies than against companies without unions.

C. A wrongful-termination lawsuit is less costly to a company than continuing the employment of an unproductive worker.

D. Obtaining financial compensation is an important motivation for filing wrongful-termination lawsuits.

E. Those who file wrongful-termination lawsuits are likely to be awarded larger settlements under the employment-at-will doctrine than under wrongful-termination laws.

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